Question 3 PAGES 180 - 182

The following is the trial balance for St Andrews Senior School as at 31 December 2017:

	$'000s	$'000s
Buildings	10 550	
Land	2 000	
Equipment	1 800	
Buildings accumulated depreciation		1 600
Equipment accumulated depreciation		300
Cash	1	
Donations and fundraising income		400
Staff costs	925	
General expenses	420	
Bank interest charges (overdraft only)	4	
General grant for operating activities		4 250
Inventories at 1 Jan 2017	85	
Other revenue		120
Receivables	125	
Revenue from consultancy activities		1 260
Short term investments	80	
Payables		528
Training grant		120
Bank overdraft		450
General reserves		920
Long term loans (3.5% - note 2)		500
Capital contributed by government		150
Accumulated surpluses		5 072
Revaluation reserve		150
Suspense account (CR)		170
	15.990	**15 990**

Additional information:

1. St Andrews is extending its premises with the creation of a new science block. In order to do this, it has purchased new land at a cost of $20 000 and undertaken building work at a cost of $150 000. All amounts had been paid by the end of the year but no entries

have yet been made for in the accounts. The new science block went into use on 31 December 2017.

2. The long - term loan balance at the start of the year was $400 000. A further $100 000 was drawn down on 30 June 2017 specifically to fund the new science block. This was immediately paid over to the building contractor as an advance payment towards the $150 000 total building cost.

No entries have yet been made for the annual interest cost of the loan which is due to be paid on 1 January 2018 to the loan provider. The school's policy is to capitalise all finance costs as permitted by IPSAS 5.

3. During the year, some surplus land was disposed of. The only transaction that has been recorded is the sale proceeds from selling the surplus land and this has been credited to the suspense account. The land disposed of was held in the school's books at $150 000 and had previously been revalued upwards by $35 000.
4. Depreciation has not yet been accounted for. Buildings are to be depreciated over a 30 year period based on the straight line method and equipment is to be depreciated over a 10 year period also using the straight line method. The depreciation policy is to charge a full year in the year of acquisition and none in the year of disposal.
5. Inventories at 31 Dec 2017 were $340 000.

Required

From the information above:

(a) Prepare the property, plant and equipment disclosure note as required by IPSAS 17 for St Andrews School's year-ended 31 December 2017.

(b) Prepare the statements of financial performance and changes in equity for St Andrews School for the year ended 31 December 2017 and a statement of financial position at that date.

All figures should be rounded to the nearest $'000.

SOLUTION Q3

a. IPSAS 17 disclosure note

	Land	**Buildings**	**Equipment**	**Total**
	$'000	**$'000**	**$'000**	**$'000**
Cost or valuation				
As at 1 January 2017	2 000	10 550	1 800	14 350

Additions	20	152		172
Disposals	(150)			(150)
Bal c/d	**1 870**	**10 702**	**1 800**	**14 372**

Accumulated depreciation				
Bal b/d	-	1 600	300	1 900
Disposals	-	-	-	-
Charge for the year	-	357	180	537
Bal c/d	**-**	**1 957**	**480**	**2 437**

Carrying value				
Bal b/d	2 000	8 950	1 500	12 450
Bal c/d	1 870	8 745	1 320	11 935

Working 1: Depreciation

	$'000
Buildings: 10,702/30 =	357
Equipment: 1,800/10 =	180

b. St Andra Senior School

Statement of financial performance for the year-ended 31 December 2017

	$000	**$000**
Revenue		
Revenue from consultancy activities		1 260
Grants (4 250+120)		4 370
Donations and fundraising income		400
Other revenue (120 + 20)		140
Total revenue		6 170
Expenses		
Wages salaries and employee benefits	(925)	
Depreciation (W1)	(537)	
Other expenses		
420 + 85 – 340	(165)	

Finance costs		
4 + 14 (W2)	18	
Total expenses		(1 645)
Surplus for the period		**4 525**

c. St Andra Senior School

Statement of changes in equity for the year-ended 31 December 2017

	Capital contributed by government	**General reserves**	**Revaluation reserves**	**Accumulated surpluses**	**Total**
	$'000	**$'000**	**$'000**	**$'000**	**$'000**
Bal b/d	150	920	150	5,072	6,292
Disposal			(35)	35	0
Surplus				4,525	4,525
Bal c/d	150	920	115	9,632	
10,817					

d. St Andra Senior School

Statement of financial position as at 31 December 2017

	$'000	**$'000**	**$'000**
ASSETS			
Current assets			
Inventories		340	
Receivables		125	
Short term investments		80	
Cash and cash equivalents		1	
			546
Non-current assets			
Plant, Property and Equipment			11 935
Total assets			**12 481**
LIABILITIES			
Current liabilities			
Payables	528		
Accrued expenses	16		

Bank overdraft (450 + 170)	620		
		1 164	
Non-current liabilities			
Long term borrowings		500	
Total liabilities			**(1 664)**
Net assets			**10 817**

NET ASSETS/EQUITY	
Capital contributed by government	150
Revaluation reserve(150 – 35)	115
General reserves	920
Accumulated surpluses (5 072 + 35 + 4 525)	9 632
Total net assets/equity	**10 817**

e. St Andra Senior School

Notes for the year ended 31 December 2017

Note 1 Acquisition of the new science block

	DR	**CR**
	$'000	**$'000**
Land	20	
Buildings	150	
Bank		170
Being acquisition of PPE		

Note 2 Interest on loan

	$'000
Amount owed at start of year (500-100):	400
3.5% interest for full year - to statement of financial performance	14
New borrowings in year:	
100 x 6/12 x 3.5% to capitalise (IPSAS 5)	2
Total interest accrual to statement of financial position	16

	DR	CR
	$'000	**$'000**
Finance charge	14	
Buildings	2	
Accrued interest		16
Being accrual of finance charges		

Note 3 Disposal of land

		DR	CR
		$'000	**$'000**
i.	Suspense	170	
Land			150
Other Income (Profit on disposal)			20
Being disposal of land			
ii.	Revaluation surplus	35	
	Accumulated Surplus		35
	Beig derecognition of revaluation surplus on disposal		

QUESTION 4 PAGES 164-165

The following trial balance has been extracted from the records of the Improvements Agency for the year ended 31 December 2017.

	Debit	Credit
	$'000	**$'000**
Land	3 000	
Buildings	12 550	
Equipment	1 800	
Cash	1	
Buildings accumulated depreciation		1 600
Equipment accumulated depreciation		300
Staff costs	925	
General expenses	420	
Bank interest charges	4	
Grants for operating activities		5 900
Inventories at 31 December 2017	85	

Other revenue		750
Receivables	125	
Revenue from consultancy activities		900
Short term investments	80	
Payables		350
Bank	320	
General reserves		1 200
Capital contributed by government		6 650
Revaluation reserve		1 200
Accumulated surpluses		240
Suspense account (notes 3 and 5)		220
	19 310	19 310

Further information:

1. The land balance includes a car park held at $500 000 which the agency no longer requires and which was rented out to a neighbouring private sector company commencing on the first day of the financial year. The agency's policy is to account for investment properties under the revaluation method.
2. The agency revalues land and buildings as permitted by IPSAS 17 and performs a full valuation at the end of every year. Land and buildings were revalued as at 31 December 2017 and the following increases were found which have not been included in the trial balance:
   - Buildings were found to have increased in value to $13m during the year.
   - Land was found to have increased in value to $3.8m during the year of which $650 000 relates to the car park discussed in point 1 above.
3. On 1st January 2017, a vehicle was acquired by finance lease. The fair value of the vehicle is $30 000 and the terms of the lease require the agency to make 3 annual lease payments of $13 000 commencing 31 December 2017. The annual lease payment for 2017 has been debited to the suspense account but no other entries have been made in relation to the leased asset.
4. Depreciation has still to be accounted for.
   - Equipment is depreciated using the straight line method over five years after allowing for a residual value of $150 000. All equipment held was acquired on or after 1 January 2013.

- Buildings are to be depreciated over their total useful economic life of 50 years, of which 37 years remain as at 1 January 2017.
- Leased vehicles are to be depreciated over their lease term.

5. A payment was made into the agency's bank account in November for $233 000, but the accountant did not know what this was for so it was initially credited to a suspense account. Subsequent investigations revealed that this was a grant for creating new internet-based services.
6. At the end of 2017, there was an outstanding instalment of General Grant of $80 000 that had not yet been received by the Agency.

Required

From the information above, prepare the;

a) Statements of Financial Performance and

b) Statement of Net Assets for the Improvements Agency for the year ended 31 December 2017, and a statement of financial position at that date.

SOLUTION Q4

The Improvements Agency

Statement of financial performance for the year-ended 31 December 2017

	$'000	**$'000**
Revenue		
Revenue from consultancy activities		900
Grants (5 900 + 233 + 80)		6 213
Other revenue (750 + 150)		900
Total revenue		8 013
Operating expenses		
Wages, salaries and employee benefits	(925)	
Depreciation	(691)	
Other expenses	(420)	
Finance costs (4 + 5)	(9)	
Total expenses		(2 045)
Surplus for the year		**5 968**

The Improvements Agency

Statement of financial position as at 31 December 2017

	$'000	**$'000**	**$'000**
ASSETS			
Current assets			
Inventories		85	
Receivables (125 + 80)		205	
Short term investments		80	
Cash and cash equivalents (320 + 1)		321	
			691
Non-current assets			
Investment properties	650		
Plant, property and equipment	16 989		17 639
Total assets			**18 330**
LIABILITIES			
Current liabilities			
Payables	350		
Finance lease liability	10		
		360	
Non-current liabilities			
Finance lease liability		12	
Total liabilities			(372)
Net assets			17 958
NET ASSETS/EQUITY			
Capital contributed by government			6 650
Revaluation reserve (1 200 + 2 050 + 650)			3 900
General reserves			1 200
Accumulated surpluses (240 + 5 968)			6 208
Total net assets/equity			**17 958**

The Improvements Agency

Statement of changes in equity for the year-ended 31 December 2017

	Capital contributed by government	**General reserves**	**Revaluation reserve**	**Accumulated surpluses**	**Total**
	$'000	**$'000**	**$'000**	**$'000**	**$'000**
Bal b/d	6 650	1 200	1 200	240	9 290
Revaluation (2 050 (W2) + 650 (W2))			2 700		2 700
Surplus				5 968	5 968
Bal c/d	6 650	1 200	3 900	6 208	17 958

The Improvements Agency

Notes to the Financial Statements for the year-ended 31 December 2017

NOTE 1 Property, plant and equipment

	Land	Buildings	Equipment	Vehicles	Total
	$'000	$'000	$'000	$'000	$'000
Cost or valuation					
Bal b/d	3 000	12 550	1 800	-	17 350
Revaluation	650	450			1 100
Additions				30	30
Investment property	(500)				(500)
Bal c/d	3 150	13 000	1 800	30	17 980
Accumulated depreciation					
Bal b/d	-	1 600	300	-	1 900
Revaluation		(1 600)			(1 600)
Charge for the year		351	330	10	691
Bal c/d	-	351	630	10	991
Carrying value					
Bal b/d	3 000	10 950	1 500	-	15 450
Bal c/d	3 150	12 649	1 170	20	16 989

NOTE 2: Revaluation

Land:

	$'000
Total increase: 3 800 - 3 000	800
Investment property element (to statement of financial performance) 650-500	150
PPE element (to revaluation reserve) – remainder	650

Buildings:

	Before revaluation	After revaluation	Movement	
	$'000	$'000	$'000	
Cost	12 550	13 000	450	Dr NCA
Acc. dep'n	**(1 600)**	-	**1 600**	Dr Accum.
	10 950	13 000	2050	Cr Reval reserve

***As the revaluation happened at the end of the year it would also be acceptable to depreciate the building prior to revaluation - full credit would be given in the exam if you did this.

NOTE 3: Depreciation:

	$'000
Buildings: Spread revalued amount over remaining life (37 years)	351
Equipment: (1 800 - 150) / 5	330
Leased vehicles: 30 / 3	10

NOTE 4: Lease

Total finance cost:	
Fair value	30
Payments: 3 x 13	39
Implied Finance charge	9

S.O.D. = 1 + 2 + 3 = 6

Year 1 interest = 3/6 x 9 =	5
Year 2 interest = 2/6 x 9 =	3

Lease table

	b/f	Interest	Payment	c/f
	$'000	**$'000**	**$'000**	**$'000**
Year 1	30	5	(13)	22
Year 2	22	3	(13)	12